BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:

Staff Policy Panel

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Q. Members of the Staff Policy Panel, please identify yourselves, your employer and your business address.

A. We are John Castano, Daniel Gadomski, Hieu Cam, and Robert Cully. We are employed by the New York State Department of Public Service. Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Castano, are you a member of the Staff Revenue Requirements Panel and do you provide your credentials in that Panel's Testimony

A. Yes.

Q. Mr. Cam, are you a member of the Staff Gas Rates Panel and do you provide your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Gadomski, are you a member of the Staff Forecasting and Inflation Panel and do you provide your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Cully, are you a member of the Staff Energy Efficiency Panel and do you provide your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Maioriello, are you a member of the Staff Gas Reliability and Supply Panel and do you provide your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Kline, are you a member of the Staff Pipeline Safety Panel and do you provide your credentials in that Panel's testimony?

A. Yes.

Scope of Testimony

Q. Panel, what is the scope of your testimony in this proceeding?

A. We will be providing testimony on the following subject matter: (1) KEDNY and KEDLI's current Rate Plan; (2) a summary of KEDNY's Revenue Requirement; (3) a summary of KEDLI's Revenue Requirement; (4) Property Taxes; (5) Deferrals & Amortizations; (6) Rate Adjustment Mechanism, or RAM; (7) Climate Leadership and Community Protection Act, or CLCPA; (8) Advanced Communication Infrastructure, or ACI and Advanced Metering Infrastructure, or AMI; and (9) Multi-Year Rate Planning.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes. We will refer to, and have relied upon, several responses to Department Staff Information Requests, or IRs, all of which are included in Exhibit__(SPP-1). We will refer to these responses by the designation given to them by the Department, e.g., DPS-123.

Q. Is the Panel sponsoring any other exhibits?

A. Yes, we are also sponsoring Exhibit___(SPP-2). Schedule 1 of Exhibit___(SPP-2) provides the results of our Greenhouse Gas emissions analysis, and Schedule 2 of Exhibit___(SPP-2) provides the results of our Disadvantaged Communities analysis.

KEDNY and KEDLI's Current Rate Plan

Q. Are the Companies currently operating under a rate plan approved by the New York State Public Service Commission, or the Commission?

A. Yes. In their previous rate proceedings, Cases 19-G-0309 and 19-G-0310, the Companies filed their initial rate request in April of 2019. On August 30, 2019 Staff and various parties

submitted testimony, and rebuttal testimony was submitted on September 18, 2019. Shortly thereafter settlement negotiations began. The parties were, however, unable to reach an agreement at that time. Evidentiary hearings took place in February 2020, shortly before the onset of the COVID-19 Pandemic. On March 7, 2020, the Governor declared a disaster emergency in the State of New York, and it became apparent the COVID-19 Pandemic could have significant and unknown public health and economic impacts. The Parties submitted post hearing briefs and reply briefs regarding a single year litigated outcome in April 2020. In June 2020, while the health and economic impacts of the Pandemic were still evolving, the parties resumed settlement negotiations, which continued, albeit remotely, culminating in the filing of a Joint Proposal May 14, 2021. We will refer to this as the 2021 Joint Proposal. The 2021 Joint Proposal was submitted on behalf of Staff, the Companies, the Environmental Defense Fund, Estates NY Real Estate Services, NY-GEO, Bob Wyman, and the Long Island Power Authority.

Q. Did the Commission act on the 2021 Joint Proposal?

A. Yes. The Commission ultimately adopted the 2021 Joint Proposal, with modifications on August 12, 2021, in its Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements. We will refer to this Order and as the 2021 Rate Order. The rates adopted in the 2021 Rate Order are effective from April 1, 2020 through March 30, 2023. The rates adopted in the 2021 Rate Order also contains a stay-out period.

Q. Please explain the stay out period.

A. The stay out period begins on April 1, 2023 and ends on the earlier of (1) the effective date of revised base rates for KEDNY and KEDLI, or (2) March 31, 2024. Since the Companies filed revised base rates that are proposed to go into effect on April 1, 2024 the stay out period is April 1, 2023, through March 31, 2024.

Q. Did the 2021 Rate Plan consider the impact of the COVID-19 Pandemic?

A. Yes. Beginning on page 56 of the 2021 Rate Order, the Commission states that the revenue requirements established in the 2021 Joint

Proposal are the result of significant compromise by the signatory parties and their concerted efforts to mitigate bill impacts during the COVID-19 pandemic. Accordingly, the 2021 Joint Proposal reflects revenue requirements over each of its three Rate Years that are more favorable to ratepayers than could have been achieved in a fully litigated outcome, including various downward adjustments to the Companies' requested revenue requirements and the aggressive amortization of regulatory liabilities. As a result, the 2021 Joint Proposal provided for no revenue increases in the first rate year and included overall revenue increases of 2.0 percent for KEDNY and 1.8 percent for KEDLI in each of the second and third rate years.

Q. In summary, what was the result of the moderation efforts made in the 2021 Rate Plan considering the COVID-19 Pandemic?

A. While these minimal rate impacts provided immediate economic benefits to ratepayers during an unprecedented period, amongst other adversities that arose during the COVID-19

Pandemic, the impacts of reducing revenue requirements by making certain cost reductions, amortizing customer credits, and delaying certain investments, have resulted in KEDNY and KEDLI customers now facing significant rate impacts.

Summary of KEDNY's Revenue Requirement

Q. Please summarize KEDNY's requested gas revenue requirement.

A. In its April 28, 2023 initial rate filing, KEDNY requested a $429.150 million total base delivery revenue increase. In its June 30, 2023, Corrections and Updates filing, as shown in Exhibit___(RRP-1CU) Summary page 2, KEDNY increased its increase request to $466.486 million, which is a 34.2 percent increase in base delivery revenues, and a 19.2 percent increase in total revenues, including ESCO commodity revenue.

Q. Please summarize Staff's recommendation regarding KEDNY's requested gas revenue requirement?

A. Staff recommends a total base delivery revenue increase of $389.431 million, a 28.6 percent

increase in base delivery revenues, and a 13.9 percent increase in total revenues, which includes ESCO commodity revenue.

Q. Please briefly summarize the major reasons for the $77.055 million decrease Staff recommends compared to KEDNY's proposed Rate Year revenue requirement?

A. The largest decrease is due to the KEDNY's request for a 9.8 percent return on equity, compared to Staff's recommended 9.1 percent return on equity. We estimate the cost of money differences account for approximately $35.164 million of the approximately $77.055 million decrease. Other major decreases include: (1) approximately $9.808 million resulting from Staff's service company rents expense adjustment; (2) approximately $5.762 million resulting from Staff's labor expense adjustment (3) approximately $20.011 million resulting from Staff's other initiatives recommendations; (4) approximately $21.041 million resulting from Staff's site investigation and remediation recommendation; (5) approximately $1.888 million resulting from Staff's adjustment to the KEDNY's

proposed savings; (6) approximately $6.257 million resulting from Staff's depreciation expense adjustment; and (7) approximately $4.843 million resulting from Staff's rate base adjustments. In addition, approximately $29.939 million increasing KEDNY's revenue requirement as a result of Staff's revenue forecast.

Summary of KEDLI's Revenue Requirement

Q. Please summarize KEDLI's requested gas revenue requirement.

A. In its April 28, 2023 initial filing, KEDLI requested a $232.601 million total base delivery revenue increase. In its June 30, 2023, Corrections and Updates filing, as shown in Exhibit___(RRP-1CU) Summary page 2, KEDLI increased its request to $277.257 million a 32.5 percent increase in base delivery revenues, and a 17.5 percent increase in total revenues, including ESCO commodity revenue.

Q. Please summarize Staff's recommendation regarding KEDLI's requested gas revenue requirement?

A. Staff recommends a base delivery revenue increase of $219.838 million, which is a 25.8

percent increase in base delivery revenues, and a 11.5 percent increase in total revenues, including ESCO commodity revenue.

Q. Please briefly summarize the major reasons for the $57.419 million decrease Staff recommends compared to KEDLI's proposed Rate Year revenue requirement?

A. A significant decrease is due to KEDLI's request for a 9.8 percent return on equity, compared to Staffs recommended 9.1 percent return on equity. We estimate the cost of money differences account for approximately $22.207 million of the approximately $54.419 million decrease. Other major decreases include: (1) approximately $6.119 million resulting from Staff's service company rents expense adjustment; (2) approximately $3.641 million resulting from Staff's labor expense adjustment (3) approximately $13.905 million resulting from Staff's recommendation for other initiatives ; (4) approximately $2.015 million resulting from Staff's site investigation and remediation recommendation; (5) approximately $0.999 million resulting from Staff's adjustment to the KEDLI's

proposed savings; (6) approximately $8.214 million resulting from Staff's recommended amortization of regulatory deferrals; (7) approximately $6.308 million resulting from Staff's depreciation expense adjustment; (8) approximately $38.599 million resulting from Staff's property tax adjustment; (9) approximately $1.446 million resulting from Staff's rate base adjustments. In addition, approximately $47.837 million increasing KEDLI's revenue requirement as a result of Staff's revenue forecast.

Property Taxes

Q. Which Staff Panel discusses property taxes?

A. Property taxes are addressed in the Staff Revenue Requirements Panel's testimony.

Q. What level of funding did the Companies request for property taxes?

A. The Companies forecasted Rate Year property tax expense of $287.105 million and $310.307 million and for KEDNY and KEDLI, respectively, which is an increase, compared to what is currently reflected in rates, of approximately $55.0 million or 24 percent for KEDNY and $112.0

million or 56 percent for KEDLI.

Q. What recommendations did Staff make with respect to the Companies' proposed level of property taxes?

A. As discussed in the Staff Revenue Requirements Panel Testimony, Staff is recommending an adjustment to KEDLI's property tax growth rate, which reduces KEDLI's forecasted property tax expense by $38.599 million, resulting in a Rate Year forecast of $271.708 million. This adjustment only affects the forecast of property taxes for KEDLI, not KEDNY.

Q. What percentage of Staff's recommended revenue requirement increases do recovery of the increases in property taxes represent?

A. When comparing Staff's recommended revenue requirement increases to what is currently reflected in rates, Staff's recommended property tax levels of $287.105 million for KEDNY and $271.708 million for KEDLI represent approximately 14 percent of Staff's recommended revenue requirement increase for KEDNY, and approximately 33 percent of Staff's recommended revenue requirement increase for KEDLI.

Q. Is the level of KEDNY and KEDLI's property taxes largely driven by factors generally out of the Companies' control?

A. Generally, yes. The recommended level of property tax expense for KEDNY and KEDLI in the Rate Year is a result of increases in the assessed value of each company's existing assets, as well as by the continuation of plant additions. While Staff and the Companies can reasonably estimate the growth of property taxes, rendering any proposed reconciliation unnecessary, this combination of increases and additions has compounded over the last several years resulting in increased property taxes reflected in rates. As explained in response to DPS-487, the Companies attempt to manage their property tax expenses by challenging valuations and reviewing assessment data provided by the taxing authorities. Thus, while the Companies' make efforts to manage property tax increases, it is driven largely by the taxing jurisdictions and the tax structures they employ.

Q. Are any of the Companies' capital additions associated with interference resulting from

public works activities?

A. Yes. As discussed in the Staff Gas Operations and Infrastructure Panel, KEDNY and KEDLI incur costs, mostly associated with main replacements, to accommodate public work projects including work on water, sewer, and drainage infrastructure, street reconstruction, and bridge replacement projects, among others. These public work projects are implemented by outside parties including the City of New York and various municipalities on Long Island. The Companies are required to replace any main that is in direct conflict with a public work project. The Companies refer to these projects as City State Construction work, or CSC.

Q. What is the level of CSC work recommended for the Rate Year?

A. As discussed in the Staff Gas Infrastructure and Operations Panel, Staff is recommending capital budgets for CSC work for KEDNY and KEDLI of $310.790 million and $10.631 million, respectively, in the Rate Year.

Q. Do the Companies pay property taxes on the capital additions associated with CSC?

A. Yes. Even though the CSC work is performed strictly as a result of a public works project, KEDNY and KEDLI have been, and will continue to pay, property tax on these additions. Since property taxes for utility infrastructure is assessed on the reproduction cost of the asset, less accumulated depreciation, the replacements made by the Companies generally result in higher property tax bills for the Companies from the applicable taxing jurisdiction. As such, the Companies are responsible for the costs of the underlying capital work and are also responsible for the increased property taxes associated with the work performed, creating a compounding effect.

Deferrals and Amortizations

Q. What was the amount of the Companies' regulatory assets or liabilities at the end of the Historic Test Year?

A. KEDNY had a net regulatory asset balance of $195.520 million and KEDLI had a net regulatory liability balance of $41.072 million.

Q. How are these regulatory assets and liabilities reflected in the revenue requirements?

A. For KEDNY, the both the Company and Staff recommend amortizing the balance over a period of 10 years, resulting in an increase of $19.552 million in KEDNY's Rate Year revenue requirement.

Q. How does the amortization of regulatory deferrals for KEDNY contribute to the overall rate increase request in these proceedings?

A. Deferred credits, sometimes referred to as regulatory liabilities, are monies owed to customers. In the 2021 Rate Order a significant amount of KEDNY's regulatory liabilities, or $94.9 million of deferred credits, were used to offset revenue requirement increases such that customers would experience minimal rate increases over the three-year term of the KEDNY rate plan. However, KEDNY's regulatory assets, which are monies owed to company, were not amortized, meaning the money owed by ratepayers to the KEDNY was not paid. These regulatory assets continued to grow during the term of the 2021 Rate Plan and the resulting regulatory asset balance at the end of the Historic Test Year was $195.5 million.

Q. Explain the significance of KEDNY's regulatory assets.

A. Although use of deferred credits in the 2021 Rate Order provided immediate and necessary economic benefit and rate moderation to KEDNY and KEDLI's ratepayers during the COVID-19 Pandemic, KEDNY's regulatory assets still need to be collected from ratepayers. Otherwise, KEDNY's ratepayers will continue to pay carrying charges on the unamortized balances, all while these regulatory asset balances continue to grow. Accordingly, while a contributing factor to the overall revenue requirement increase, amortizing KEDNY's net regulatory asset balance over a 10-year period reasonably balances the interests of KEDNY and KEDNY's ratepayers.

Q. Did the Companies propose a similar treatment of regulatory deferrals for KEDLI?

A. No. KEDLI had a net regulatory liability of approximately $40.072 million at the end of the Historic Test Year. KEDLI proposed to defer its net regulatory liability for future disposition rather than reflecting an amortization in its revenue requirement.

Q. Is Staff supportive of KEDLI's proposed treatment?

A. No. As discussed in the Staff's Revenue Requirements Panel, Staff recommends amortizing the net regulatory liability over a five-year period. The impact of Staff's proposal reduces KEDLI's revenue requirement by $8.124 million in the Rate Year.

Rate Adjustment Mechanism

Q. Please describe the Companies' Rate Adjustment Mechanism, or RAM, proposal?

A. Referring to pages 63 and 64 of the direct testimony of KEDNY's Rate Design Panel, the Companies are proposing to implement a RAM to recover costs from or pass back credits to, customers on a timelier basis.

Q. Please explain how the Companies' proposed RAM would function.

A. According to the Companies' response to DPS-433, reconciliations in the RAM in the first year would be limited to existing reconciliations, and the associated deferral amounts booked during the bridge period, or from January 1, 2023, through March 31, 2024. The existing

reconciliations would include the property tax deferral and Energy Affordability Program, or EAP, deferral as well as incremental energy efficiency program costs incurred during that time. The amounts from these reconciliations would go through the RAM from June 1, 2024, through May 31, 2025.

Q. What would happen in the second year of the RAM?

A. As proposed by the Companies, both the existing deferrals mentioned earlier, and their newly proposed deferrals would be recovered through the RAM. The amount to be recovered or refunded through the RAM would be measured over the term of the Rate Year, with recovery or refund commencing June 1, 2025, and continuing through May 31, 2026.

Q. What new deferrals do the Companies propose to reconcile through the RAM?

A. The Companies propose that the uncollectible expense reconciliation, the late payment charge revenue reconciliation, the No Fee Credit/Debit Card reconciliation and the Long-Term Debt reconciliation be included in the RAM.

Q. Did the Companies propose a specific dollar

amount or revenue percentage that would trigger the implementation of the RAM?

A. No. According to the Companies' response to DPS-433, as shown in Exhibit___(SPP-1), the Companies are not proposing a minimum amount or revenue percentage that would trigger the RAM.

Q. Did the Companies propose a recovery or refund revenue cap?

A. No, however, in response to DPS-433, the Companies indicate that 2.5 percent of total revenue would serve as a reasonable cap on the RAM.

Q. Does the Panel support the Companies' proposal to implement a RAM?

A. No. We do not agree that implementing a RAM is appropriate in the context of a one-year rate proceeding. Moreover, the Companies' proposed RAM lacks necessary details before taking effect, such as the identification of other already approved reconciliation items that could be included. For these reasons, the Commission should deny the Companies' RAM proposal.

Q. In the event the Commission adopts a RAM in these proceedings, does Staff recommend any

modifications to the proposed deferrals to be recovered through the RAM?

A. As discussed in the Staff Revenue Requirements Panel, the Staff Finance Panel, and the Staff Consumer Services Panel, Staff does not support the Companies' new reconciliation mechanisms, which the Companies proposed to include in the RAM. Therefore, we recommend, in the event the Commission adopts a RAM, items to be reconciled be limited to the existing property tax deferral, EAP deferral, and incremental energy efficiency program costs. Additionally, should the Commission implement a cap, a cap of 2.5 percent of total revenues is reasonable in the absence of other caps on specific reconciliations.

Review of CLCPA

Q. What topics related to the CLCPA will the Panel discuss as part of this testimony?

A. As part of this testimony we will provide: (1) a brief overview of the portions of the CLCPA relevant to utility rate proceedings, (2) a brief overview of recent Commission Orders and directives related to determining whether a Rate

Plan is compliant with the CLCPA, (3) a review of and recommendations regarding the Companies' claims about the consistency of their proposals with CLCPA Sections 7(2) and 7(3).

Overview of the CLCPA

Q. What major obligations does the CLCPA impose on the Commission?

A. The CLCPA establishes deadlines by which Commission-established programs must meet specific clean energy goals. For example, the CLCPA added Section 66-p to the Public Service Law, or PSL, which requires, among other things, the Commission to establish a renewable energy program under which the State's jurisdictional load serving entities, or LSEs, procure a minimum of 70 percent of the State's electric load from renewable sources by 2030. It also requires the Commission to establish a program by which the statewide electrical demand system is zero emissions by 2040. Other requirements under PSL Section 66-p include that the Commission shall, no later than July 1, 2024, establish programs to require the procurement of nine gigawatts, or GW, of offshore wind by 2035,

six GW of photovoltaic solar generation by 2025, and three GW of statewide energy storage capacity by 2030. As noted above, the major requirements that the CLCPA directly imposed on the Commission are related to the electric system, and thus these specific requirements are not applicable to gas-only utilities like KEDNY and KEDLI.

Q. Are there requirements of the CLCPA that are applicable to any decision the Commission makes?

A. Yes, CLCPA Sections 7(2) and 7(3) apply to any determination the Commission makes, including decisions on rate proceedings.

Q. Is the Panel familiar with CLCPA Section 7(2)?

A. Yes. While none of the members of the Panel are attorneys and thus cannot speak to specific legal requirements, we are generally familiar with CLCPA Section 7(2).

Q. Please explain the Panel's understanding.

A. CLCPA Section 7(2) requires all State agencies, including the Commission, to take into consideration whether certain specified final agency actions are inconsistent with or will interfere with the attainment of the statewide

greenhouse gas, or GHG, emission limits established by the New York State Department of Environmental Conservation, or DEC, under Environmental Conservation Law, or ECL, Article 75. Thus, final Commission decisions are subject to the evaluation required under Section 7(2).

Q. If a decision is determined to be inconsistent with the attainment of emissions limits established in Article 75, what course of action does the CLCPA require?

A. Section 7(2) states that where a decision is deemed to be inconsistent with, or to interfere with, the attainment of the statewide GHG emissions limits, the deciding agency, office, authority, or division must provide a detailed statement of justification as to why such limits/criteria may not be met and identify alternatives or GHG mitigation measures to be required where such project is located.

Q. Has the Commission issued any orders addressing Section 7(2) of the CLCPA specific to rate plans?

A. Yes. On August 12, 2021, the Commission issued

an Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements in Cases 19-G-0309 and 19-G-0310, referred to as the 2021 Rate Order, which adopted a Joint Proposal establishing rate plans for the Companies, the Commission specifically found that Section 7(2) of the CLCPA applies to rate cases. The Commission has since undertaken the analysis required under Section 7(2) in rate cases initiated by Niagara Mohawk Power Corporation d/b/a National Grid, or NMPC, Central Hudson Gas & Electric Corporation, or Central Hudson, Orange and Rockland Utilities, or O&R, and Consolidated Edison Company of New York, or Con Edison.

Q. Is the Panel familiar with CLCPA Section 7(3)?

A. Yes. While none of the members of the Panel are attorneys and thus cannot speak to specific legal requirements, we are generally familiar with CLCPA Section 7(3).

Q. What is your understanding of the requirement of Section 7(3) of the CLCPA?

A. Section 7(3) provides that, in issuing certain administrative approvals and decisions, the

State's agencies and public authorities shall not disproportionately burden Disadvantaged Communities and must also prioritize reductions of GHG emissions and co-pollutants in Disadvantaged Communities.

Q. Are there any further CLCPA provisions regarding Disadvantaged Communities that are applicable to rate cases?

A. Yes. There are provisions of ECL Article 75 and PSL Section 66-p that require the Commission to ensure that its clean energy programs also provide specific benefits to Disadvantaged Communities.

Q. Has the Commission applied Section 7(3) of the CLCPA in any rate cases?

A. Yes, in each of the Commission's recent rate cases for almost all of the State's Investor-Owned Utilities, as mentioned earlier.

Review of Commission Policy on CLCPA

Q. What role, if any, do the prior Commission Orders that have applied Section 7(2) and (3) play with respect to Staff's review of the present rate filings?

A. Staff applies prior relevant Orders to guide its

analysis of proposed rate plans. Applied here, we reviewed KEDLI's and KEDNY's rate filings, as modified by Staff, in the context of determining its consistency with prior Commission Orders in rate cases to the extent related to examining compliance with Sections 7(2) and (3) of the CLCPA.

Q. Are there other relevant Orders or proceedings that Staff considered?

A. Yes. The Commission has commenced two statewide proceedings that also provide guidance regarding CLCPA compliance. First, the Commission commenced a CLCPA proceeding through its May 12, 2022 Order on Implementation of the Climate Leadership And Community Protection Act in Case 22-M-0149, referred to as the CLCPA Order. Second, the Commission commenced a proceeding to establish a long-term plan for gas utilities as discussed in the Commission's May 12, 2022 Order Adopting Gas System Planning Process, or Gas Planning Order, in Case 20-G-0131.

Q. Please describe the CLCPA Order.

A. The CLCPA Order has several purposes. First, it instituted the new proceeding as a forum to

track and assess the advancements made towards meeting the CLCPA mandates and to provide policy guidance, as necessary, for additional actions necessary to help achieve the CLCPA mandates. Second, the Order directed Staff to present an annual informational item to the Commission regarding that progress. It also initiates the process to, among other things, establish statewide GHG emissions reporting guidelines to be adopted by the State's utilities.

Q. How does the Order initiate this process?

A. The Commission directed the investor-owned utilities, including KEDNY and KEDLI, to build on GHG emission inventory requirements from recent rate cases by working with Staff to develop a proposal regarding the content of utility-specific GHG emissions inventory reports that include an inventory of total gas system-wide emissions, following the methodology required in the CLCPA, and by DEC, to calculate their system emissions. The goal is for the utilities to assess the current direct and indirect GHG emissions, including upstream emissions from imported fossil fuels, local

distribution emissions, and end-use, or customer meter, emissions and file a report on an annual basis. The Joint Utilities filed a Proposal for an Annual Greenhouse Gas Emissions Inventory Report on December 1, 2022. After further consultation with Staff, the Joint Utilities provided a supplement to its proposal on May 31, 2023. Public comments on the JU's proposal are due September 5, 2023, and we anticipate that the Commission will subsequently issue an order regarding this matter.

Q. Did the Commission require any utilities to provide a GHG emissions inventory report in any prior rate cases?

A. Yes. The recent rate orders mentioned earlier all required the subject utilities to provide such a report.

Q. Does the process regarding the GHG Emission Inventory Report established in the CLCPA Order differ from the process approved by the Commission in recent rate cases?

A. Yes. In their respective Rate Orders, the Commission required KEDNY and KEDLI, Central Hudson, NMPC, and O&R to prepare their reports

either during the term of the rate plan or by the next rate filing. The CLCPA Order requires the utilities, in consultation with Staff, to propose a more refined methodology and, after the Commission takes action regarding that proposal, for the utilities to file their reports by a date to be determined by the Commission. Until the Commission approves that methodology, Staff is being guided in these cases by these prior Commission orders that approved the aspects of rate case joint proposals related to preparation of GHG emission inventory reports, such as the 2021 Rate Order.

Q. Did the CLCPA Order make any other emissions-related requirements relevant to rate proceedings?

A. Yes. On page 16 of the CLCPA Order, the Commission directed all utilities to include an assessment of the GHG emissions impacts of each specific investment, capital expenditure, program, and initiative as part of rate filings made after May 12, 2022 and expressed its expectation that all future rate case filings would include such information.

Q. Earlier, you mentioned the recent Gas Planning Order, please describe it.

A. The purpose of this Order is to ensure more thoughtful, strategic, and comprehensive planning for natural gas usage and investments. It also presents a regulatory planning roadmap to enable gas utilities to maximize the use of energy efficiency, new technologies (such as electric heat pumps) and demand response programs, as well as minimize — and even potentially eliminate — new gas infrastructure investments while maintaining safe and reliable service, consistent with the CLCPA. The Gas Planning Order also requires gas utilities, including the Companies, to make filings to propose: (1) screening criteria, which reflect the unique characteristics of each service territory to be used to identify the most likely gas infrastructure projects to be successfully deferred or avoided through implementation of NPA projects; (2) a NPA project cost recovery mechanism, filed jointly if possible; and (3) a NPA shareholder incentive mechanism, jointly if possible. The Gas Planning Order requires the

Companies, and other gas utilities, to make these required filings within 90 days of the effective date of that Order.

Q. What is the status of the utilities' filings pursuant to the Gas Planning Order?

A. The status of utilities' filings pursuant to the Gas Planning Order is discussed in the testimony of the Staff Gas Reliability and Supply Panel.

Q. Please identify the specific aspects of the recent prior rate orders in which the Commission addressed compliance with Section 7(2) of the CLCPA.

A. With respect to Section 7(2), the joint proposals approved by the Commission contained specific utility actions that are intended to reduce GHG emissions associated with utility operations and advance the CLCPA's objectives. These actions are numerous and often specific to the particular case. The most generalizable, and most relevant to the case at hand, include: completing a CLCPA Study that includes an annual system-wide GHG emissions inventory and report; completing a study considering the evolution of the gas system and/or the depreciation of gas

system assets; prioritizing the retirement, replacement, and repair of leak prone pipe and, where possible, considering NPAs instead of replacement; deploying methane detection technologies; eliminating gas marketing efforts and oil-to-gas conversion incentives; eliminating gas declining block rates; targeting a reduction in gas sales volumes; and taking steps toward company fleet electrification and facility efficiency.

Q. Have the Companies already completed some of these initiatives?

A. Yes, in the 2021 Rate Order, the Commission required the Companies to complete a CLCPA study and a depreciation study which were filed on March 17, 2023, in Cases 19-G-0309 and 19-G-0309. Further, the Companies discontinued their gas marketing efforts and oil-to-gas conversion rebates/incentives as part of the 2021 Joint Proposal adopted in the 2021 Rate Order.

Q. Does the Panel have any recommendations concerning the Companies' marketing and incentives?

A. The Panel recommends that the Commission require

the Companies continue refraining from such activities consistent with the terms of the 2021 Rate Order. We anticipate that the Companies will continue to honor the commitments made under their current rate plan including meeting the Capacity Demand Metrics established in the 2021 Rate Order, however, Staff also recommends that the Commission continue those requirements as part of these proceedings. The Staff Efficiency Panel recommends modifications to the Capacity Demand Metrics.

Q. Do the proposed rate plans, as modified by Staff's recommendations, include similar features to those in previous rate plans that the Commission found not to be inconsistent with the CLCPA's GHG emissions reduction targets?

A. Yes. In these proceedings, the Staff Pipeline Safety Panel recommends further prioritization of retirement or replacement, or repair of leak-prone pipe, or LPP, through increased annual LPP removal targets. Should the Companies fail to meet those targets they will incur Negative Revenue Adjustments. Moreover, Staff recommends that the Companies pursue a Connected

Residential Methane Detector Pilot Program deploying methane detectors with real time data transmission capabilities. Further, the Staff Efficiency Panel recommends that the Commission continue the Capacity Demand Metrics, which would continue to measure the Companies' activities in developing NPA projects, both in lieu of specific LPP replacement projects and more broadly in areas where gas infrastructure and supply issues can be avoided.

Q. Does Staff have any recommendations concerning facility efficiency and electrification of the Companies' vehicle fleet?

A. As discussed on page 34 of the Companies' CLCPA Panel's direct testimony, and pages 87 and 88 of KEDNY and KEDLI's Gas Infrastructure and Operations Panel, or GIOP's direct testimonies, the Companies propose several projects concerning facility efficiency and fleet electrification. As discussed by the Staff Gas Infrastructure and Operations Panel, we do not support all of the Companies' facilities projects, but we do not recommend any modifications to the Companies' fleet

electrification proposals.

Q. Are there any features similar to those in previous Commission-approved rate plans that would not be implemented based on Staff's recommendations in these proceedings?

A. Staff recommends against elimination of declining block rates in these proceedings.

Q. Why does Staff recommend continuing the existing declining block rate structure in the Rate Year?

A. The Staff Gas Rates Panel explains that given the magnitude of the Companies' proposed rate increases in these cases, any movement toward flat rates, that is away from declining block rates, would shift the incremental revenue requirement to high use customers and further exacerbate the bill impacts of new rates on those higher use customers. However, the Staff Gas Rates Panel also recommends that the Commission consider block flattening in a multi-year rate plan, as well as, requiring the Companies to submit a block flattening analysis in their rate case filing.

Q. What features of prior rate cases has the Commission cited when discussing compliance with

Section 7(3) of the CLCPA?

A. In discussing compliance with CLCPA Section 7(3), the Commission has referred to analysis performed by the subject utilities to determine whether any of their proposed capital projects are situated in environmental justice areas, as designated by DEC, and whether those projects are expected to impose additional environmental burdens on those communities or, to the contrary, to reduce emissions in those areas. In NMPC's rate proceedings in Cases 20-E-0380 and 20-G-0381, the Commission also pointed to that utility's leak prone pipe replacement program, which included plans to eliminate older main segments in environmental justice communities. Additionally, the Commission has stated on multiple occasions that a joint proposal serves Disadvantaged Communities by enabling utilities to continue providing safe, reliable, and affordable gas service.

Q. Do the present proceedings, as modified by Staff's recommendations, include similar features?

A. Yes. As discussed in greater detail below, the

Companies identify the projects and programs located within Disadvantaged Communities, and we provide additional data and analysis regarding proportionality of infrastructure investments within Disadvantaged Communities. As mentioned earlier, the Staff Gas Reliability and Supply Panel and the Staff Pipeline Safety Panel discuss investments in the continued reliability of the gas system as well as LPP replacement projects.

Emissions Impacts

Q. Please provide an overview of the Companies' testimony regarding emissions impacts of its rate filing.

A. The direct testimony of the Companies' CLCPA Panel describes the Companies' efforts to aggregate emissions reductions data from the testimonies of various other KEDNY and KEDLI testimony panels, such as the KEDNY GIOP, the KEDLI GIOP, the KEDNY and KEDLI Gas Safety Panel, and the KEDNY and KEDLI Customer Panel. As stated on pages 24-25 of the CLCPA Panel's direct testimony, the Companies estimated emissions reductions associated with various

projects, often based on reductions in escaping methane for projects like leak-prone pipe, or LPP, replacements or reductions in customer end-use for programs like the Energy Efficiency, or EE, programs, and then calculated greenhouse gas reductions in the common unit of metric tons of equivalents of Carbon Dioxide, or CO2e, using factors sourced from DEC or the United States Environmental Protection Agency.

Q. Did the Companies quantify each of the projects that they identify as resulting in emissions reductions?

A. No. For each capital project proposed by the Companies' respective GIOPs, the Companies provide a field in KEDNY Exhibit___(GIOP-5), KEDNY Exhibit___(GIOP-5C&U), KEDLI Exhibit___(GIOP-5), and KEDLI Exhibit___(GIOP-5C&U) to report whether emissions reductions are anticipated as a result of the project, provide an explanation regarding anticipated emissions associated with the project, and, where applicable, provide a quantification or qualification of the emissions reductions expected. However, as described on pages 28-29

of the CLCPA Panel's direct testimony, the Companies made quantified estimates of the emissions reductions only where those projects have a direct impact on emissions, and where that impact can be readily quantified using accepted factors. The aggregated quantified emissions reductions are shown in Exhibit___(CLCPA-4), Schedule 1 for KEDNY, and Exhibit___(CLCPA-5), Schedule 1 for KEDLI.

Q. Do the Companies provide emissions information for projects where they have not quantified such emissions?

A. Yes. Where it is difficult to measure the direct emissions reductions from a project, such as where a project will reduce emissions but the Companies are unable to accurately estimate by how much, or where a project provides an indirect emissions reduction, such as where a project enables emissions reductions through other actions but does not directly reduce emissions itself, the CLCPA Panel also provides a qualified information regarding such project's emissions reductions. The qualified emissions reductions are shown in Exhibit___(CLCPA-4),

Schedule 2 for KEDNY, and Exhibit___(CLCPA-5), Schedule 2 for KEDLI.

Q. You said that the CLCPA Panel aggregated emissions reductions from the Companies' various other Panels – is that different than emissions impacts?

A. Yes. The key distinction is that while the Companies have provided either quantified or qualified information on regarding emissions increases for numerous projects, the Companies almost exclusively provided detailed quantified or qualified information only where a project is likely to reduce emissions. Emissions reductions are different than emissions impacts in that we would expect a demonstration of emissions impacts to also provide an estimate of increased emissions resulting from projects.

Q. Have the Companies provided the information the Panel expects based on the Commission's directives for the information required to assess emissions impacts?

A. No, they have not yet in these proceedings.

Q. What information leads the Panel to its conclusion that the Companies have not yet

provided the information expected based on the Commission's directives?

A. We performed an analysis based on the capital and operations and maintenance projects identified by KEDNY and KEDLI's respective GIOPs, and the Companies' Gas Safety Panel to identify the number of projects for which the Companies have identified and quantified emissions impacts.

Q. What data was used as inputs for your analysis?

A. As inputs for this analysis, we used data provided by the Companies in Exhibit___(KEDNY GIOP-5), Exhibit___(KEDNY GIOP-5C&U), Exhibit___(KEDNY GIOP-6), Exhibit___(KEDNY GIOP-7), Exhibit___(KEDNY GIOP-9), Exhibit___(GIOP-11C&U), Exhibit___(KEDLI GIOP-5), Exhibit___(KEDLI GIOP-5C&U), Exhibit___(KEDLI GIOP-6), Exhibit___(KEDLI GIOP-7), Exhibit___(KEDLI GIOP-8), and Exhibit___(KEDLI GIOP-10C&U). In addition, we relied on the Companies' responses to IRs DPS-1011 and DPS-1012, both of which are included in Exhibit___(SPP-1).

Q. What are the results of your analysis?

A. We provide a summary of the results of our analysis in Exhibit___(SPP-2), Schedule 1. As shown in that exhibit, the Companies identified a total of 219 capital and O&M projects, 116 projects assigned to KEDNY, 97 projects assigned to KEDLI, and six projects assigned to the Service Company, or ServCo. Of the 219 projects proposed by the Companies, KEDNY and KEDLI quantified the anticipated emissions impacts associated with 30 projects, or approximately 14 percent of projects.

Q. What are the results for KEDNY?

A. Of the 116 projects identified in the KEDNY service territory, KEDNY directionally identified emissions impacts, either increases or decreases, for 102 projects, with 80 projects resulting in emissions decreases and 22 projects resulting in emissions increases. Based on the information provided by KEDNY, we are unable to determine whether the remaining 14 projects would be emissions-neutral or would instead result in either increased or decreased emissions. Of the 102 projects with anticipated emissions impacts, KEDNY quantified the

anticipated impacts for only 12 projects where the project is expected to result in decreased emissions, and for only 4 projects where the project is expected to result in increased emissions. Based on these figures, KEDNY quantified emissions impacts for only approximately 14 percent of its proposed capital and O&M projects.

Q. What are the results for KEDLI?

A. Of the 97 projects identified in the KEDLI service territory, KEDLI identified emissions impacts, either increases or decreases, for 86 projects, with 67 projects resulting in emissions decreases and 19 projects resulting in emissions increases. Based on the information provided by KEDLI, we are unable to determine whether the remaining 11 projects would be emissions-neutral or would instead result in either increased or decreased emissions. Of the 86 projects with anticipated emissions impacts, KEDLI quantified the anticipated impacts for only 11 projects where the project is expected to result in decreased emissions, and for only one project where the project is expected to

result in increased emissions. Based on these figures, KEDLI quantified emissions impacts for only approximately 12 percent of its proposed capital and O&M projects.

Q. What conclusion does the Panel draw from this analysis?

A. We conclude that the Companies have not yet met the expectations of the Commission's directive to assess the GHG emissions impacts of each specific investment, capital expenditure, program, and initiative as part of their rate filings.

Q. Has the Panel developed any recommendations to remedy the situation?

A. Yes. We recommend that the Companies develop quantified estimates of the emissions impacts for the 116 KEDNY projects, 97 KEDLI projects, and six service company projects, regardless of whether emissions reductions or emissions increases are anticipated, to that end, we also recommend that the Commission require the Companies to make justifiable assumptions and develop reasonable estimates for those projects with direct emissions impacts that may be

difficult to quantify or those with indirect emissions impacts.

Disadvantaged Communities

Q. Please summarize the Companies' testimony regarding Disadvantaged Communities.

A. On page 47 of the CLCPA Panel's direct testimony, the Companies state that they have sought to prioritize Disadvantaged Community areas through improvement of local infrastructure, development of new customer programs, modification of certain existing economic development programs, and development of several earnings adjustment mechanisms, or EAMs, to better focus on delivering benefits to Disadvantaged Communities. In addition, the Companies propose to continue efforts to engage in the statewide generic CLCPA Compliance and Implementation Proceeding in Case 22-M-0149 and propose to implement the annual tracking and reporting requirements established as part of that process.

Q. What do the Companies propose with respect to infrastructure projects within Disadvantaged Communities?

A. On page 48 of the CLCPA Panel's direct testimony, the Companies state that Disadvantaged Communities will benefit from improvements in infrastructure through, among other things: LPP replacements; electrification of the Companies' fleet of light duty vehicles and installation of charging infrastructure located proximate to Disadvantaged Community areas; and, improvements to the Greenpoint liquified natural gas, or LNG, plant which they claim would mitigate public health impacts, reduce air quality impacts, and improve other environmental factors to the benefit of Disadvantaged Community residents. In addition to the testimony provided by the CLCPA Panel regarding infrastructure investments, the KEDNY and KEDLI GIOPs also identify projects that are, or are expected to be, located within Disadvantaged Community areas as part of the project justification workpapers provided in Exhibit___(KEDNY GIOP-5), Exhibit___(KEDNY GIOP-5C&U), Exhibit___(KEDLI GIOP-5), and Exhibit___(KEDLI GIOP-5C&U).

Q. Where does Staff address the Companies'

infrastructure plans in testimony?

A. The Staff Gas Infrastructure and Operations Panel, Staff Pipeline Safety Panel, and the Staff Gas Reliability and Supply Panel discuss the Companies' infrastructure project proposals. In particular, we note that Staff does not recommend any modifications to the Companies' proposals regarding electrification of the Companies' fleet of light duty vehicles and installation of charging infrastructure.

Q. What do the Companies propose with respect to new customer programs within Disadvantaged Communities?

A. On pages 50 of the CLCPA Panel's direct testimony, the Companies state that they propose a new weatherization health and safety pilot program, a new Disadvantaged Community outreach program, a new energy efficiency language access program, and a new digital building replica pilot.

Q. Where does Staff address these programs in testimony?

A. The Staff Efficiency Panel addresses the Weatherization Health and Safety Program,

Language Access Pilot, Disadvantaged Community Outreach Program, and Digital Building Replica Pilot. For each of these proposals, Staff contends that the Companies have not justified the proposed incremental funding, as authorization and funding for these efforts are under consideration as part of ongoing statewide energy efficiency proceedings, these efforts are being actively implemented by other entities like the New York State Energy Research and Development Authority, or these efforts are already allowed under the existing New Efficiency: New York programs and therefore the Companies should fund such activities using already-authorized funding sources.

Q. Does Staff's rejection of the incremental funding requested by the Companies in these proceedings foreclose on the Companies' opportunity to develop these programs?

A. No. The Staff Efficiency Panel's recommendations are intended to reflect that the Companies should pursue these initiatives through the appropriate generic proceedings for requesting incremental funding and authorization

for these programs, if actually needed, or allocate the funding specifically designated to support these initiatives from already-authorized sources.

Q. What do the Companies propose with respect to economic development programs to benefit Disadvantaged Communities?

A. On page 50 of the CLCPA Panel's direct testimony, the Companies state that they are proposing modifications to the eligibility requirements for their respective Brownfield Redevelopment Assistance programs, which grants to fund utility related infrastructure improvements, demolition, and other costs that are necessary to progress the redevelopment of a brownfield site or abandoned building, to better prioritize activity in Disadvantaged Communities, and propose changes to eligibility requirements and providing matching funding for their respective Cinderella programs, which provides grants to municipal and non-profit development corporations to offset a portion of the costs of redeveloping and revitalizing, and maintaining strategic, sustainable programs to

strengthen critical commercial districts and urban corridors, to both better prioritize Disadvantaged Communities and provide additional levels of support than would be available elsewhere.

Q. Does Staff recommend any modifications to the Companies' Economic Development program proposals?

A. No, we do not. As discussed in Staff's Consumer Services Panel's testimony, we support the Companies' proposal to discontinue the Capital Investment Incentive Program and the Industrial Building Redevelopment Program, as both promoted expansion of the natural gas system and their continuation would have been counterproductive to emissions reductions. Further, Staff supports the Companies' proposals to expand the Brownfield Redevelopment Assistance Program and the Cinderella Program to focus on Disadvantaged Communities.

Q. What do the Companies propose with respect to EAMs to benefit Disadvantaged Communities?

A. On pages 51-52 of the CLCPA Panel's initial testimony, the Companies state that they propose

two EAM metrics related to Disadvantaged Communities: continuation of the existing low- and moderate-income, or LMI, customer energy efficiency savings EAM, or LMI EE EAM, and a new energy affordability program, or EAP, enrollment EAM, or EAP EAM. The Companies state that the LMI EE EAM is intended to encourage the Companies to exceed the savings targets directed toward LMI customers within the Energy Efficiency program, and the EAP EAM is intended to encourage the Companies to invest and advance innovative approaches to identify, reach, and enroll eligible customers into the EAP.

Q. Where does Staff address the Companies' EAM proposals in testimony?

A. The Staff Efficiency Panel addresses the Companies' proposed EAM metrics. Staff recommends that the Commission reject the Companies' proposed LMI EE EAM because the Commission has clearly stated it would not consider new energy efficiency EAMs until after completion of the interim review process in the New Efficiency: New York Proceeding, and because the EAP EAM metric is, by its nature,

susceptible to providing a windfall to the Companies' shareholders as a result of an economic downturn or recession at further the expense of customers.

Q. Will this Panel provide testimony regarding the Companies' Disadvantaged Community-related infrastructure, customer program, economic development program, or EAMs?

A. Our discussion of the Companies' specific proposals related to Disadvantaged Communities above is intended to provide an overview of the Companies' proposals at a high level. More specific discussion of Disadvantaged Community-related projects and programs can be found in each of the Staff panels previously listed.

Q. Has the Panel developed an analysis regarding the impacts of the Companies' proposals on Disadvantaged Communities?

A. Yes. As discussed above, the Companies provided information for each of their infrastructure projects identifying whether a project is located within a Disadvantaged Community. We examined the proportion of expenditures within Disadvantaged Communities compared to the total

expenditures. We then compared the proportion of infrastructure-related expenditures proposed by the Companies to other measures of the proportion of the Companies' service territories which are within Disadvantaged Communities.

Q. What is the rationale underpinning your analysis?

A. Our rationale is that the proportion of expenditures occurring within Disadvantaged Communities should roughly match the proportion of the Companies' service territories that are considered Disadvantaged Communities. If there is a significantly higher proportion of infrastructure expenditures within Disadvantaged Communities, that might indicate that the Disadvantaged Communities are being disproportionately burdened through disproportionate siting of infrastructure with Disadvantaged Community areas. Conversely, if there is a significantly lower proportion of infrastructure expenditures within Disadvantaged Communities, that might indicate unreasonable disinvestment in maintaining infrastructure within Disadvantaged Communities and could

constitute a disproportionate burden.

Q. What is the purpose of presenting this analysis?

A. The purpose of our analysis is to enhance the record to allow for further refinement throughout the remainder of these proceedings.

Q. What measures of the proportion of the Companies' service territories did the Panel consider?

A. We considered several different measures to help determine whether the Companies' investment plans may present a disproportionate burden on Disadvantaged Communities. Specifically, we considered the proportion of the population within each Company's service territory living in a Disadvantaged Community area, the proportion of customers living in a Disadvantaged Community area, and the proportion of each Company's service territory that is designated as a Disadvantaged Community area.

Q. Does the Panel have a preference for which measure should be used?

A. We contend that the proportion of residents living in Disadvantaged Communities within each Company's service territory is the best metric

as it is the most direct measurement of the community itself. We also contend that the second-best metric would be the proportion of customers residing within a Disadvantaged Community area, including customers participating in the EAP residing outside of designated Disadvantaged Community areas, in each Company's service territory, since customers are a measure of the people living in the Disadvantaged Community, though not all persons living in the community will be customers. Of the three metrics we examined, the proportion of land area within each Company's service territory that is designated as a Disadvantaged Community is our least-preferred metric, since it is not a measure of the people in the community but only a measure of the land a community resides on.

Q. Which metrics did you include in your analysis?

A. Although it is our least preferential method, we had to rely on the proportion of land area of each Company's service territory designated as a Disadvantaged Community since the Companies do not presently track either the number of

residents, number of customers, or number of EAP participants located within Disadvantaged Communities within their service territories, as shown in the Companies' responses to DPS-833, DPS-834, and DPS-836, all of which are included in Exhibit___(SPP-1).

Q. What is the proportion of land area designated as Disadvantaged Communities in each Company's service territory?

A. As shown in the Companies' response to DPS-838, included in Exhibit___(SPP-1), 31 percent of the KEDNY service territory and 15 percent of the KEDNY service territory are designated as Disadvantaged Community areas. A map of the areas in each Company's service territory designated as Disadvantaged Communities is provided in the Companies' response to DPS-837, included in Exhibit___(SPP-1).

Q. Was the information provided by the Companies in their initial and corrections and updates testimonies sufficient to complete your analysis?

A. No. As discussed above, the Companies provided a check-box in the sanctioning papers provided

in Exhibit___(KEDNY GIOP-5), Exhibit___(KEDNY GIOP-5C&U), Exhibit___(KEDLI GIOP-5), and Exhibit___(KEDLI GIOP-5C&U), which identify whether a project is located in a Disadvantaged Community area. This identification system works well when a project is related to a single distinct location either fully within or fully outside a Disadvantaged Community area, however, many of the Companies' projects are better described as programs with a periodic cadence of activity, which have many component projects scattered throughout the entirety of the service territory. Using the Companies' check-box system to identify projects or programs located in Disadvantaged Communities is problematic because it may allocate more money into the Disadvantaged Community category than what would realistically be spent within Disadvantaged Community areas.

Q. Please provide an example to illustrate a project or program where the checkmark is sufficient.

A. Consider the "LNG – Blanket" project described on page 102 of Exhibit___(KEDNY GIOP-5). The

"LNG – Blanket" project includes a wide range of capital work to upgrade and improve KEDNY's LNG facility, however, this project is entirely sited on KEDNY's Greenpoint Energy Center, which is within a Disadvantaged Community area, therefore, KEDNY's identification system would accurately allocate 100 percent of the costs of this program to the Disadvantaged Community category.

Q. Please provide an example to illustrate a project or program where the checkmark is insufficient.

A. Consider the "Main Replacement – Proactive – Leak Prone Pipe" project described on page 167 of Exhibit___(KEDNY GIOP-5). The "Main Replacement – Proactive – Leak Prone Pipe" project is a program with many smaller LPP replacement projects scattered around the KEDNY service territory, sited based on a risk-ranking. Although it is unlikely that all of the component LPP replacement projects under this program would be located in Disadvantaged Community areas, KEDNY's identification system would result in 100 percent allocation of this

program to the Disadvantaged Community category because it is likely that at least one project will occur in a Disadvantaged Community area.

Q. What conclusion do you draw from these examples?

A. The "all or nothing" check box that the Companies use to identify whether a project is located within a Disadvantaged Community area is only accurate when 100 percent or zero percent of a project are within a Disadvantaged Community area, but is inaccurate when a project or program covers areas partially within and partially outside of Disadvantaged Community areas.

Q. Did the Panel attempt to ameliorate this "all or nothing" issue of allocating costs to the Disadvantaged Community category using the Companies' identification system?

A. Yes. As shown in the Companies' responses to IRs DPS-835, DPS-872, DPS-993, DPS-994, DPS-995, DPS-996, DPS-997, and DPS-998, all of which are included in Exhibit___(SPP-1), for each project identified by the Companies as being located in a Disadvantaged Community area, the Companies provided an estimated proportion of that project

which would occur in Disadvantaged Community areas. For example, using the two examples discussed above, KEDNY identified that 100 percent of the "LNG – Blanket" project would be located within a Disadvantaged Community area, whereas KEDNY identified that 31 percent of the "Main Replacement – Proactive – Leak Prone Pipe" program would be located within a Disadvantaged Community area, and as a reminder that is based on the percentage of KEDNY's service territory designated as a Disadvantaged Community area. We then used these proportions provided by the Companies to allocate costs between Disadvantaged Community areas and the remainder of each company's service territory to more accurately represent costs incurred within or outside of Disadvantaged Community areas.

Q. What are the results of your analysis?

A. Our analysis demonstrates that KEDNY proposes to spend approximately 42 percent of its CapEx and 33 percent O&M costs, on projects or programs located within Disadvantaged Community areas. For KEDLI, our analysis demonstrates that the Companies proposes to spend approximately 14

percent of its CapEx and 14 percent O&M costs, on projects or programs located within Disadvantaged Community areas. The results of our analysis are summarized in Exhibit___(SPP-2), Schedule 2.

Q. Does the Panel have any observations regarding these results?

A. Yes. For KEDLI, the 14 percent CapEx and 14 percent O&M costs align reasonably well with the 15 percent by land area of KEDLI's service territory that is designated as a Disadvantaged Community area. For KEDNY, the 42 percent of its CapEx spending present somewhat of a mismatch compared to the 31 percent by land area of KEDNY's service territory that is designated as a Disadvantaged Community area, whereas the 33 percent of its O&M spending within Disadvantaged Community areas matches the percentage of land area well.

Q. Are there any factors which may contribute to the mismatch the Panel observed for KEDNY?

A. KEDNY's plans for CapEx expenditures related to its LNG facilities could account for some of the mismatch we observed. KEDNY's LNG CapEx

proposals account for approximately 10 percent of its total CapEx request. Of the CapEx costs KEDNY proposes to spend on its LNG facilities, 98 percent of those costs are categorized within Disadvantaged Community areas, and KEDNY's LNG CapEx costs account for approximately 24 percent of its total CapEx costs within Disadvantaged Communities. Given the high amount of costs and significant proportion located in Disadvantaged Communities, KEDNY's LNG proposals may be responsible for skewing the proportion of CapEx costs categorized as located in Disadvantaged Communities higher than 31 percent. Based on these results, we adjusted the LNG costs out of the total costs to examine whether KEDNY's non-LNG CapEx costs are also skewed.

Q. What are the results with KEDNY's LNG costs adjusted out?

A. After adjusting the LNG costs out, 36 percent of KEDNY's non-LNG CapEx costs are categorized as within a Disadvantaged Community; still slightly higher than the 31 percent of land area within Disadvantaged Community areas.

Q. Does the Panel agree that funding spent on

capital investments in Disadvantage Communities produces an impact to that community?

A. Generally, yes in some way. However, the Panel does not construe impact to only refer to negative impacts or disproportionate impacts. As an example, capital expenditure programs such as LPP removal programs address the Companies' leaking infrastructure which produces beneficial health, safety, and reliability impacts to the communities immediately surrounding the improved infrastructure through the reduction of leaking methane and by avoiding potential failures. While there are temporary construction impacts, these impacts are not disproportionate and are outweighed by air quality and safety improvements. Further, the emphasis on resolving LPP through NPAs or other alternative solutions while necessitating the allocation of capital expenditures in Disadvantaged Communities can result in beneficial impacts to said community.

Q. Would the Panel agree that its analysis of funding spent or allocated in Disadvantaged Communities is indicative of positive or

negative impacts to those communities?

A. We contend that our analysis is one of many tools which allow the Commission to assess whether the Companies are complying with the CLCPA, and to enhance the record for further refinement through the remainder of these proceedings. This analysis is also limited to the portfolio of expenditures proposed in these proceedings, and as such, represents an analysis of the proposed set of projects targeted for the Rate Year. As such, this analysis does not attempt to prejudge future capital or community-based needs or fluctuating system dynamics.

Q. Has the Panel developed any recommendations for completing this type of analysis in the future?

A. Yes. We recommend that Commission require KEDNY and KEDLI to track the following pieces of data within their respective service territories: (1) the total number of residents; (2) the number of residents living within Disadvantaged Community areas; (3) the number of customers living within Disadvantaged Community areas; (4) the number of customers participating in the EAP within Disadvantaged Community areas; and (5) the

number of customers participating in the EAP outside of Disadvantaged Community areas.

Q. How could the data you recommend the Companies begin tracking improve your analysis?

A. The ratio of the number of residents living in Disadvantaged Communities to the total number of residents within a service territory would be useful as a measure of the proportion of residents living in Disadvantaged Communities but would not consider the number of low-income customers living outside of specified Disadvantaged Community areas. The ratio of (1) the sum of (a) the number of customers living in Disadvantaged Community areas and (b) the number of EAP participants living outside of Disadvantaged Community areas to (2) the total number of customers within the service territory would be a good measure for the proportion of Disadvantaged Community customers that includes consideration of low-income status. In addition to the land area of Disadvantaged Community areas metric, these metrics could be used separately or weighted together to provide a more comprehensive view of whether the

Companies' CapEx and O&M proposals represent a disproportionate burden on Disadvantaged Communities.

Advanced Metering/Communication Infrastructure

Q. Please describe the Companies' AMI and ACI proposals.

A. As discussed on page 77 of KEDNY's GIOP's direct testimony, and on page 73 of KEDLI's GIOP's direct testimony, and presented on pages 1-13 of Exhibit___(GIOP-5), the Companies are proposing an AMI Residential Methane Detector Program, AMI Smart Meter Replacement Program proposals, and ACI Network Program for both KEDNY and KEDLI. The AMI proposals for KEDNY and KEDLI account for approximately $3.305 million and $3.580 million of Capital Expenditures, respectively.

Q. How will these AMI capital investments be used by the Companies?

A. As discussed on page 77 of KEDNY's GIOP testimony, and on page 73-74 of the KEDLI's GIOP testimony, the Companies state that these investments "will fund development of a detailed scope of work and business plan to deploy an interconnected network to facilitate the

installation of smart meters and methane detection devices that will provide real-time safety benefits and enable additional functionality to benefit [the Companies] and [their] customers."

Q. Did KEDNY provide a benefit-cost analysis, or BCA, for its AMI proposals?

A. No. In its response to DPS-519, included in Exhibit___(SPP-1), KEDNY states that "[it] did not perform specific benefit-cost analyses for these proposals." KEDNY indicates that the proposed funding for the first two years, in the RY and FY26, of the AMI network program includes "costs to hire an external vendor to conduct an options analysis and identify a path forward for the network. Part of the vendor's scope of work will include completion of a detailed benefit cost analysis to help inform [KEDNY's] program decisions."

Q. Did KEDLI provide a BCA for its AMI proposals?

A. No. In its response to DPS-520, included in Exhibit___(SPP-1), KEDLI states that "[it] did not perform specific benefit-cost analyses for these proposals." KEDLI indicates that the

proposed funding for the first two years, the RY and FY26, of the AMI network program includes "costs to hire an external vendor to conduct an options analysis and identify a path forward for the network. Part of the vendor's scope of work will include completion of a detailed benefit cost analysis to help inform [KEDLI's] program decisions."

Q. What does the Panel recommend the Companies be required to demonstrate for this project to be considered reasonable?

A. The Panel recommends that the Commission require the Companies to demonstrate that the benefits of their AMI proposals outweigh the costs via a BCA with a net present value, or NPV, benefit-cost ratio above 1.0, before the Companies propose these programs in their next or future rate filings. The costs of the projects should be competitively bid to ensure the best prices for the systems. System suppliers should provide contractual guarantees of their prices and service quality to ensure that the systems will function as expected and provide the benefits at the estimated cost.

Q. According to page 1 of Exhibit___(GIOP-5) of both the KEDLI and KEDNY testimonies, "this is a two-phase project: Phase One will include development of a full AMI Network Solutions plan (e.g., final scope, resourcing, costs, timeline, etc.). [The Companies] propose to file the full AMI Network Solutions plan for DPS Staff's review and approval within one calendar year of receiving approval to recover costs for the creation of this plan through the rate filing." Is it reasonable for the Companies to request recovery of costs to develop AMI program plans before demonstrating that those programs are cost effective?

A. No. Every other utility that has implemented an AMI program, most notably KEDNY and KEDLI's sister company in New York State, NMPC, as well as, Con Edison, NYSEG, RG&E, and PSEG Long Island, has had to demonstrate that their AMI programs would be cost effective through the production of a BCA with a benefit-cost ratio above 1.0 before cost recovery of those programs was allowed.

Q. What does the Panel recommend regarding the

Companies' current AMI program proposals?

A. Since the Companies are unable to demonstrate that the benefits of their AMI program proposals justify the costs, we recommend that the Commission reject the Companies' AMI program proposals at this time. Further, the Staff Gas Infrastructure and Operations Panel discusses the corresponding adjustments to the proposed capital budgets created by our recommendation.

Q. Does this conclude your testimony at this time?

A. Yes. Thank you.